

RB Sirdaw v the New Asiatic Insurance Co Ltd and another

[1957] 1 EA 282 (HCU)

Division:	HM High Court for Uganda at Kampala
Date of judgment:	18 September 1957
Case Number:	731/1956
Before:	McKisack CJ
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[1] Insurance – Policy containing arbitration clause for determining amount of damage – Whether insured obliged to obtain award before suing his insurers.

Editor's Summary

The plaintiff sued for Shs. 42,500/- damage by fire to a building he owned. The insurance was effected with the first defendant which had several months before the fire issued a policy in respect of the building. The second defendant was the insurance agent through whom the plaintiff arranged the business including payment of premium. After the fire there were discussions between the parties regarding the amount of the damage and the first defendant obtained an assessment of the damage. No agreement was reached and ultimately the first defendant repudiated any liability on the ground that the premium for the policy had not been paid. The plaintiff then sued the first defendant as insurer and, in the alternative, sued the second defendant who had been instructed to pay the premium to the first defendant. By the time the case came before the court for trial, the parties had agreed that (a) the first defendant should admit liability on the policy and that the action against the second defendant should be dismissed and (b) that the court should decide who should pay the costs of the second defendant, and also whether the first defendant was bound by an award already made by an arbitrator as to the amount of the damage and who should pay the costs of the argument in respect of the points upon which the decision of the court was sought.

The plaintiff claimed that under a condition in the policy it was incumbent on him to obtain an award as to damage before suing. This condition read

“If any difference arises as to the amount of any loss or damage such difference shall independently of all other questions be referred to the decision of an arbitrator. . . .”

The first defendant contended that, in the circumstances of the case, the condition was inapplicable.

Held – it was necessary for the plaintiff to obtain the award as a condition precedent to his action, the award was binding and there would be judgment for the plaintiff for Shs. 42,500/- against the first

defendant with costs including the costs of the arbitration and award.

Judgment for the plaintiff.

Cases referred to:

(1) *Woodall v. Pearl Assurance Company, Ltd.*, [1919] 1 K.B. 593.

(2) <i>Heyman v. Darwins Ltd.</i> , [1942] 1 All E.R. 337	.
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(3) *Jureidini v. The National British & Irish Millers Insurance Co., Ltd.*, [1915] A.C. 499.

Judgment

McKisack CJ: This action arises out of a fire which damaged a building belonging to the plaintiff and insured by the first defendant (to whom I shall refer as “the insurance company”). The second defendant is a firm of insurance agents. The insurance company issued a policy of fire insurance in respect of the building on May 4, 1955. The fire which damaged the building occurred on August 13, 1955. The plaintiff had arranged payment of the premium for the insurance through the second defendant.

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The insurance company repudiated liability, and the plaintiff sued the company to recover Shs. 42,500/-, the amount of the damage to the building. The second defendant was sued in the alternative, since the ground upon which the insurance company repudiated liability was that the premium for the

policy had never been paid. In their written statements of defence both defendants denied all liability.
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When the case came on for trial the issues had been narrowed by reason of agreement having been reached between the parties on certain points. These are set out in the document marked Exhibit 1 and are to the following effect:

1. The insurance company admits liability on the policy.
2. The case against the second defendant is to be dismissed.
3. The following questions are to be decided by the court:

(	<i>a</i>	)	The costs of the second defendant;
(	<i>b</i>	)	Whether the insurance company is bound by an award already made by an arbitrator as to

the amount of the damage to the insured building;

(<i>c</i>	)	Costs of, and incidental to, argument on the question contained in para. (<i>b</i>) above.
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4. If the court holds that the arbitrator’s award is binding on the insurance company, then judgment is to be entered for the plaintiff for the amount of the award with costs against the insurance company, including costs of the arbitration and award.
5. If the court does not so hold, then the amount of the damage is to be referred to arbitration in accordance with condition 18 of the insurance policy, and thereafter judgment to be entered for the plaintiff for the amount so awarded with costs (but excluding the costs of the previous arbitration).

In view of the agreement reached on the foregoing points, no evidence was called at the trial but correspondence between the parties (and their advocates) was put in (Exhibits 2 and 3). The insurance policy (Exhibit 4) and the arbitrator's award (Exhibit 5) were also put in.

I shall deal first with the question whether the insurance company is bound by the award of the arbitrator (Mr. I. S. Gill), who assessed the damage at Shs. 42,500/-, Mr. Nazareth for the plaintiff contends that by reason of condition 18 in the policy it was incumbent on the plaintiff to obtain an arbitrator's award as to the amount of the damage before he instituted proceedings. Mr. Phadke for the insurance company argued that condition 18 was inapplicable. That condition reads as follows:

18. If any difference arises as to the amount of any loss or damage such difference shall independently of all other questions be referred to the decision of an arbitrator, to be appointed in writing by the parties in difference, or if they cannot agree upon a single arbitrator to the decision of two disinterested persons as arbitrators, of whom one shall be appointed in writing by each of the parties within two calendar months after having been required so to do in writing by the other party. In case either party shall refuse or fail to appoint an arbitrator within two calendar months after receipt of notice in writing requiring an appointment, the other party shall be at liberty to appoint a sole arbitrator, and in case of disagreement between the arbitrators, the difference shall be referred to the decision of an umpire who shall have been appointed by them in writing before entering on the reference, and who shall sit with the arbitrators and preside at their meetings. The death of any party shall not revoke or affect the authority or powers of the arbitrator, arbitrators or umpire respectively; and in the event of the death of an arbitrator or umpire, another shall in each case be appointed in his stead by the party or arbitrators (as the case may be) by whom the arbitrator or umpire so dying was appointed. The costs of the reference and of the award shall be in the discretion of the arbitrator, arbitrators or umpire making the award. And it is hereby expressly stipulated and declared that it shall be a condition precedent to any right of action or suit upon this policy that the award by such

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arbitrator, arbitrators or umpire of the amount of the loss or damage if disputed shall be first obtained.

It is common ground that, despite the repudiation of liability by the insurance company, the arbitration condition did not cease to have effect. This is in accordance with the decision in *Woodall v. Pearl Assurance Company Ltd.* (1), [1919] 1 K.B. 593. But I have to decide whether it was applicable in the circumstances existing at the time the plaintiff sought to put it into effect.

The wording of the first sentence of condition 18 is, it is to be noted, "If any difference arises as to the amount of any loss or damage . . ." The condition, therefore, is not so wide as that in the policy which was the subject of the decision in *Woodall v. Pearl Assurance Company Ltd.* (1) (which I have referred to above) or as that of the arbitration clause which was considered in *Heyman v. Darwins, Ltd.* (2), [1942] 1 All E.R. 337. In neither of the last-mentioned cases was the condition or clause limited to a dispute as to the amount of damage, but extended to any question touching the liability of

the company (as in *Woodall's* case (1)) or to any dispute:

“in respect of this agreement or any of the provisions herein contained or anything arising hereout”

(as in *Heyman's* case (2)). Condition 18 is worded in the same way as that in a fire policy which was considered in *Jureidini v. The National British and Irish Millers* (3), [1915] A.C. 499. Mr. Phadke for the insurance company placed great reliance on this case, which bore several points of resemblance to the one now before me. In that case there was a fire insurance policy in respect of goods which were damaged by fire, and the insurance company had repudiated liability on the ground that the plaintiff had himself set fire to the premises containing the goods and that the claim was a fraudulent one. A clause in the policy said that, if the claim was fraudulent or the damage was occasioned by any wilful act, then all benefit under the policy was to be forfeited. The policy also contained, as I have said, an arbitration clause which was to the same effect as the one I now have under consideration, and was thus restricted to disputes as to the amount of the loss or damage. In addition to the defence that the claim was fraudulent and that the fire was occasioned by the plaintiff himself, there was the further defence that the plaintiff had not complied with the arbitration clause. The trial judge entered judgment for the plaintiff, the jury having found that the plaintiff did not set fire to the premises in which the goods were and did not make a fraudulent claim. One of the grounds on which the insurance company appealed was that the judge was wrong in holding that the action was maintainable, having regard to the provisions of the arbitration clause. It was held by the House of Lords that the repudiation of the claim on a ground going to the root of the contract precluded the company from pleading the arbitration clause as a bar to an action to enforce the claim.

Mr. Phadke argued that the circumstances of the instant case were closely parallel to those of the *Jureidini* case (3). But I agree with Mr. Nazareth that there are two important distinctions between the two cases. Firstly, in the instant case we do not have the position that the insurance company is saying that the plaintiff cannot sue because he has not first obtained an arbitration award. And, secondly, the correspondence between the parties reveals that there had been discussion as to the amount of the damage and that agreement had not been arrived at.

It appears from the correspondence that the insurance company had taken steps to obtain an assessment of the damage. In a letter dated September 30, 1955, from plaintiff's advocates to the insurance company there occurs the following passage:

“When the fire was reported to you, you appointed Mr. Howells of Radford, Howells & Partners, to assess the damage and our client agreed to accept his assessment.

“Mr. Howells carried out the assessment a few days later, i.e. some five weeks ago. Shortly after he had done so another valuation was made by a member of Messrs. Inglis, McGuinness & Wilkinson. Our client has no knowledge why this was done.”

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Then on October 4, 1955, the insurance company wrote to plaintiff's advocates as follows:

“It is entirely up to the company and the assessor – in this case, Mr. Folkes – to appoint one or more

persons for assessment. Mr. Folkes has already received another assessment report from Messrs. Inglis, McGuiness & Wilkinson and, I understand, he has had some discussions with your clients on first of October. The matter of valuation is still the subject of discussions between the assessor and your clients. The company, however, wants the recommendations of the surveyor and may or may not decide to admit liability on the ground of non receipt of consideration or any other ground.”

In a letter dated October 14 from the insurance company to plaintiff’s advocates criticism was made of an estimate obtained from an architect as being excessive, and the letter went on to say that an assessor

“met the insured but after long discussions he was not willing to come to any sort of compromise in the matter.”

A later passage in this letter says that a figure having been suggested by the assessor “your clients, however, refused this approach by Mr. Folkes” (the assessor). There are also other letters relating to discussions between the parties as to the amount of the damage which I need not quote, since I think it is already clear that there was, in the words of condition 18, “a difference as to the amount of the loss or damage.” The earliest of these letters referring to the existence of a difference between the parties as to the amount of the damage is dated September 30, 1955, but at that date the company had already indicated to the plaintiff that they were repudiating the claim on the ground that the premium had not been paid; this was in the company’s letter of September 16, 1955, in which they say

“In view of the premium having not been received we cannot proceed with consideration of the claim, which please note.”

It thus appears that, side by side with their repudiation of liability, the insurance company was enquiring into the amount of the damage and, through their agents, discussing it with the plaintiff. The correspondence sufficiently indicates that there was a difference of opinion between the parties as to the proper assessment of the damage. In this respect the circumstances appear to me to be quite different from those in *Jureidini’s* case (3). In *Heyman’s* case (2) Viscount Simon considered the decision in *Jureidini’s* case (3) and pointed out that in the latter case their Lordships had not all rested their decisions on precisely the same ground; he concludes by saying that Lord Parmoor (who was one of the judges who delivered an opinion in that case)

“says expressly that no difference had arisen as regards matters which could come for decision under the arbitration clause and that consequently the clause had no application. It is on this second ground that I think the majority of the House should be regarded as having decided the appeal.”

In the instant case, as I have said, the position is quite different.

I find therefore that it was necessary for the plaintiff to obtain an arbitrator’s award as a condition precedent in suing the insurance company. The plaintiff followed the procedure laid down in condition 18 and the insurance company, having declined to appoint an arbitrator within the stipulated time, a sole arbitrator was duly appointed by the plaintiff. His award is not attacked by the insurance company on the ground of misconduct or on any other ground. The company simply says that the plaintiff had no power to appoint any arbitrator because condition 18 was inapplicable. The question

whether his award, which, as I have found, was duly delivered in accordance with condition 18, is binding upon the parties, does not, I think, present any difficulty, and, indeed, Mr. Phadke has not sought to show that the parties can go behind the award. Condition 18 is an agreement to submit a difference to arbitration, and the provisions of the Arbitration Ordinance (Cap. 21) apply. One of those provisions is that

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“the award to be made by the arbitrators or umpire shall be final and binding on the parties and the persons claiming under them respectively,”

unless a different intention is expressed (s. 4 and schedule, para. 8). No different intention is expressed in the policy, and I therefore find that the award is binding.

There will accordingly be judgment for the plaintiff for Shs. 42,500/- against the first defendant (the insurance company) with costs, including the costs of the arbitration and award.

Judgment for the plaintiff.

For the plaintiff:

JM Nazareth, QC and SC Gautama

Shah & Gautama, Nairobi

For the first defendant:

VV Phadke

Parekhji & Co, Kampala

For the second defendant:

AG Mehta

Patel & Mehta, Kampala